

NOTES AND INSTRUCTIONS – SUPPLEMENTARY FORM (S2)

1. You are only required to complete the section(s) as applicable.
2. A person is associated with another person (each an affected person) if, as between them, the participation condition is met. The participation condition is met as between two persons if, at the time of carrying out the transaction, one of the affected persons was participating in the management, control or capital of the other affected person, or the same person or persons was or were participating in the management, control or capital of each of the affected persons. You have transactions with other parts of the non-Hong Kong resident person if you are a Hong Kong permanent establishment of a non-Hong Kong resident person and have transactions with the other parts of that non-Hong Kong resident person, e.g. transactions between the head office and its branch.
3. A Hong Kong entity, including a permanent establishment in Hong Kong, of a group (in extended sense) (Note 4) is required to prepare and retain the entity's local file and a master file of its group in respect of an **accounting period beginning on or after 1 April 2018**, except where –
 - (a) any 2 of the following conditions are satisfied –
 - (i) the total amount of the entity's revenue for the accounting period does not exceed HK\$400 million;
 - (ii) the total value of the entity's assets at the end of the accounting period does not exceed HK\$300 million;
 - (iii) the average number of the entity's employees during the accounting period does not exceed 100;
 - OR
 - (b) the total amounts of all the following types of controlled transactions (excluding specified domestic transactions) undertaken by the entity in respect of the accounting period do not exceed the specified amount:
 - (i) the total amount of transfers of properties (excluding financial assets and intangibles) does not exceed HK\$220 million;
 - (ii) the total amount of transactions in respect of financial assets does not exceed HK\$110 million;
 - (iii) the total amount of transfers of intangibles does not exceed HK\$110 million;
 - (iv) the total amount of other transactions does not exceed HK\$44 million.
4. "Group in the extended sense" means –
 - (a) a group in the usual sense, which means a collection of enterprises related through ownership or control such that –
 - (i) it is required to prepare consolidated financial statements for financial reporting purposes under applicable accounting principles; or
 - (ii) it would be so required if equity interests in any of the enterprises were traded on a public securities exchange; or
 - (b) a single enterprise if it is resident for tax purposes in one jurisdiction and is subject to tax in another jurisdiction with respect to the business carried out through a permanent establishment in that other jurisdiction.
5. In section 1.2, you only need to state whether you are required to prepare master file and local file in respect of the controlled transactions. Under section 58C(2)(a) of the Inland Revenue Ordinance (Cap. 112) ("IRO"), the period for preparing the relevant files is **9 months** after the end of the accounting period concerned.
6. Section 2 must be completed if you have entered into an advance pricing arrangement with the Commissioner.
7. If there was any material change in the facts and circumstances specified in the arrangement, you must provide the details of the changes in your profits tax computation.
8. Under section 58H of the IRO, a Hong Kong entity of a multinational enterprise group (Note 10) that is a reportable group (Note 9) must, within 3 months after the end of the accounting period, file a written notice with the Commissioner to identify the ultimate parent entity (Note 11) of the group or the constituent entity responsible for filing the country-by-country ("CbC") report through the CbC Reporting Portal unless (a) it is not the ultimate parent entity of the group, the surrogate parent entity (Note 14) of the group nor the entity that is to file a CbC return for the group; and (b) another Hong Kong entity has filed such a notice.
9. A multinational enterprise group is a reportable group for an accounting period if it had a total consolidated group revenue (Note 12) of at least the following threshold amount for immediate preceding accounting period (Note 13):
 - (a) for a group with its ultimate parent entity resident in Hong Kong - HK\$6.8 billion; or
 - (b) for a group with its ultimate parent entity resident in a jurisdiction other than Hong Kong - the threshold amount for CbC reporting specified under the laws or regulations of that jurisdiction or an amount equivalent to EUR750 million as at January 2015.
10. "Multinational enterprise group" means a group in the usual sense (Note 4(a)) that includes:
 - (a) two or more enterprises of which the tax residence is in different jurisdictions; or
 - (b) an enterprise that is resident for tax purposes in one jurisdiction and is subject to tax in another jurisdiction with respect to the business carried out through a permanent establishment in that other jurisdiction.

11. "Ultimate parent entity" means a constituent entity of a group in the usual sense that meets the following conditions:
 - (a) it owns directly or indirectly a sufficient interest in one or more other constituent entities of the group such that it is required to prepare consolidated financial statements under accounting principles generally applied in its jurisdiction of tax residence, or would be so required if its equity interests were traded on a public securities exchange in its jurisdiction of tax residence; and
 - (b) there is no other constituent entity of the group that owns directly or indirectly an interest described in paragraph (a) in the constituent entity.
12. "Total consolidated group revenue" means the group's total consolidated revenue as reflected in the group's consolidated financial statements.
13. "Immediate preceding accounting period" means the accounting period that ends immediately before the commencement of the accounting period concerned.
14. "Surrogate parent entity" means a constituent entity of a reportable group appointed as the sole substitute for the ultimate parent entity to file a CbC return or report on behalf of the group.
15. Completion of sections 3.3.1 and 3.3.2 will **NOT** constitute the submission of a notice under section 58H of the IRO.
16. Section 4 must be completed if you are a Part 4AA entity (Note 17(e)) of an MNE group (Note 17(b)) with annual consolidated revenue of EUR 750 million or more in at least two of the four fiscal years (Note 17(d)) immediately preceding the fiscal year concerned ("in-scope MNE group").
17. For the purposes of Section 4,
 - (a) "Group" means –
 - (i) a collection of entities that are related through ownership or control such that the assets, liabilities, income, expenses and cash flows of those entities:
 - (I) are included in the consolidated financial statements of the ultimate parent entity (Note 17(c)); or
 - (II) are excluded from the consolidated financial statements of the ultimate parent entity solely on size or materiality grounds, or on the grounds that the entity is held for sale; or
 - (ii) an entity that is located in one jurisdiction and has one or more permanent establishments located in other jurisdictions provided that the entity is not a part of the another group described in sub-paragraph (i) above;
 - (b) "MNE group" means a group (Note 17(a)) that includes at least one entity or permanent establishment that is not located in the jurisdiction of the ultimate parent entity;
 - (c) "Ultimate parent entity" means either:
 - (i) an entity that:
 - (I) owns directly or indirectly a controlling interest in any other entity; and
 - (II) is not owned, with a controlling interest, directly or indirectly by another entity; or
 - (ii) the main entity of a group that is described in Note 17(a)(ii);
 - (d) "Fiscal year" means an accounting period with respect to which the ultimate parent entity of the MNE group prepares its consolidated financial statements. In the situation where the ultimate parent entity does not prepare consolidated financial statements, the ultimate parent entity will be assumed to have prepared consolidated financial statements. In such case, the fiscal year means the calendar year.
 - (e) "Part 4AA entity", in relation to an MNE group, means (i) a HK constituent entity (Note 17(f)) of the MNE group; (ii) a HK standalone JV (Note 17(g)) of the MNE group; (iii) a HK member (Note 17(j)) of a JV group (Note 17(k)) of the MNE group; or (iv) a Part 4AA stateless constituent entity (Note 17(l)) of the MNE group;
 - (f) "HK constituent entity", in relation to an MNE group, means a constituent entity of the MNE group that is located in Hong Kong;
 - (g) "HK standalone JV" means a standalone JV (Note 17(h)) that –
 - (i) is located in Hong Kong; or
 - (ii) would have been a Part 4AA stateless constituent entity, had it been a constituent entity;
 - (h) "Standalone JV" means a joint venture that has no JV subsidiary (Note 17(i));
 - (i) "JV subsidiary" means an entity whose assets, liabilities, income, expenses and cash flows are consolidated by a joint venture under an acceptable financial accounting standard (or would have been consolidated had it been required to consolidate such items in accordance with an acceptable financial accounting standard). A permanent establishment whose main entity is the joint venture or a JV subsidiary shall be treated as a separate JV subsidiary.

- (j) “HK member”, in relation to a JV group of an MNE group, means the joint venture or another member of the JV group that –
 - (i) is located in Hong Kong; or
 - (ii) would have been a Part 4AA stateless constituent entity, had it been a constituent entity;
 - (k) “JV group” means a joint venture and its JV subsidiaries;
 - (l) “Part 4AA stateless constituent entity”, in relation to an MNE group, means a stateless constituent entity of the MNE group –
 - (i) that is created in Hong Kong; or
 - (ii) that is a place of business in Hong Kong, and is a permanent establishment in accordance with paragraph (d) of the definition of “permanent establishment” in Article 10.1.1 of the GloBE rules;
 - (m) “Designated filing entity” means a constituent entity of an MNE group (other than the ultimate parent entity) that:
 - (i) is located in Hong Kong and is appointed by the group to file, on behalf of the group, the top-up tax return for a fiscal year; or
 - (ii) is located in a GloBE jurisdiction other than Hong Kong and is appointed by the group to file the GloBE information return on behalf of the group for a fiscal year;
 - (n) “GloBE jurisdiction” means (i) Hong Kong; or (ii) another jurisdiction with a qualified IIR, qualified UTPR or qualified domestic minimum top-up tax; and
 - (o) “Designated local entity” means a constituent entity of an MNE group that:
 - (i) is located in Hong Kong; and
 - (ii) is appointed by all the HK constituent entities of the group –
 - (I) to file a notice for the purposes of section 5 of Schedule 63 to the IRO (“top-up tax notification”); and
 - (II) to file a top-up tax return in accordance with section 3 of Schedule 63 to the IRO,
 with the Commissioner on behalf of those constituent entities for a fiscal year.
18. According to section 5 of Schedule 63 to the IRO, each HK constituent entity of an in-scope MNE group (“subject entity”) must, within 6 months after the end of the fiscal year (“notification deadline”), file a top-up tax notification with the Commissioner to identify the entity and jurisdiction from which Hong Kong will receive the GloBE information return and any other information relevant for determining a HK constituent entity’s obligation to file a top-up tax return. This obligation can be relieved if another HK constituent entity being the ultimate parent entity (Note 17(c)), designated filing entity (Note 17(m)) or designated local entity (Note 17(o)) of the group has filed, by the notification deadline, such a notification stating that it is to file the top-up tax return, with the Commissioner, on behalf of the subject entity and all other HK constituent entities of the group. The obligation of filing top-up tax notifications also applies to HK standalone JVs, HK members of JV groups and Part 4AA stateless constituent entities of in-scope MNE groups in the same way as it applies to HK constituent entities.
19. Section 4.3 is applicable if you are a HK constituent entity or a HK member of a JV group, of the MNE group and your answer to section 4.2 is “No”.
20. In case you are a HK standalone JV or a HK member of a JV group of an in-scope MNE group (Group A) and any of the following circumstances is met:
- (a) you are also a HK standalone JV or a HK member of a JV group of another in-scope MNE group (Group B);
 - (b) you are also a HK constituent entity of another in-scope MNE group (Group B),
- please complete Section 4 with information in relation to Group A and furnish the information in relation to Group B, in your profits tax computation, in the same format.
21. You may leave sections 4.4.2 and/or 4.4.3 blank if you do not have the details of the group’s designated filing entity and/or designated local entity.
22. Completion of sections 4.4.1 to 4.4.3 will **NOT** constitute the submission of a top-up tax notification under section 5 of Schedule 63 to the IRO.
23. You must export the filled form to XML file and upload the XML file via the electronic filing of Profits Tax Return services under GovHK for submission. If you do not choose to submit Profits Tax Return through electronic filing or semi-electronic filing, you have to print and sign a paper Control List (containing details of the XML file uploaded and QR code) generated by the electronic filing of Profits Tax Return services for submission together with the Profits Tax Return in order to complete the submission process. The Control List of this supplementary form must be signed by the same person signing the tax return.